SS16/16 - The minimum requirement for own funds and eligible liabilities (MREL) - buffers and Threshold Conditions

Source: https://www.prarulebook.co.uk/guidance/supervisory-statements/ss16-16--the-minimum-requirement-for-own-funds-and-eligible-liabilit
Effective Date: 03-03-2026
Type: Supervisory Statement
Scraped: 2026-03-02 22:33

SS16/16 - The minimum requirement for own funds and eligible liabilities (MREL) - buffers and Threshold Conditions

Supervisory Statement 16/16

First published on 8 November 2016

Overview

This supervisory statement (SS) is aimed at Prudential Regulation Authority (PRA)-regulated banks, building societies and PRA designated investment firms (firms).

This statement sets out the PRA's expectations on the relationship between the minimum requirement for own funds and eligible liabilities (MREL) and both capital and leverage ratio buffers, as well as the implications that a breach of MREL would have for the PRA's consideration of whether a firm is failing, or likely to fail, to satisfy the Threshold Conditions.

This SS provides further detail in relation to the high level expectations outlined in 'The PRA's approach to banking supervision'. As set out in the approach document, firms are expected to engage directly with policy material, including SSs, and determine -- bearing in mind the overarching principle of safety and soundness -- whether they meet the PRA's expectations.

This SS should be read in conjunction with the Bank of England's (the Bank's) statement of policy on its approach to setting MREL, PRA SS6/14 on capital buffers, and PRA SS31/15 on leverage buffers.

Update on 16 July 2019 : On 7 June 2019, the Capital Requirements Regulation (CRR) II was published in the Official Journal of the European Union. As set out in the updates on the CRD IV and Resolution web pages published on Monday 10 June 2019, CRR II introduces new requirements for UK Global Systemically Important Institutions (G-SIBs) and UK material subsidiaries of non-EU G-SIBs in respect of 'own funds and eligible liabilities', some of which are directly applicable from Thursday 27 June 2019.

The PRA is in the process of reviewing the relevant amendments to the EU's revised risk management measures (CRR II /Capital Requirements Directive V / Bank Recovery and Resolution Directive II), and it will consider whether changes to SS16/16 are required in due course. In the interim, the PRA clarifies that expectations in SS16/16 apply in respect of minimum requirements for own funds and eligible liabilities (MREL) set by the Bank of England, as the UK resolution authority, and to the new CRR II requirements in respect of 'own funds and eligible liabilities'.

Current version

Published 22 July 2025. Effective from 22 July 2025.

* Supervisory Statement 16/16 - July 2025 (pdf)
* \- following LIAF01/25: July 2025 - minor updates and corrections made without further consultation.

Future version

Confirmed as final in January 2026, following near-final future version published in October 2025. Effective from 1 January 2027.

* SS16/16 - The minimum requirement for own funds and eligible liabilities (MREL) - buffers and Threshold Conditions - January 2026 (pdf)

**Confirmed final byPS4/26 - The Strong and Simple Framework: The simplified capital regime for Small Domestic Deposit Takers (SDDTs) - final. First published as near-final as part of PS20/25 - The Strong and Simple Framework: The simplified capital regime for Small Domestic Deposit Takers (SDDTs) - near-final.

Past versions

* ### List of past versions

Published 28 December 2020. Effective from 29 December 2020.

* Supervisory Statement 16/16 - December 2020 (pdf)Opens in a new window

\- following PS29/20 'Capital Requirements Directive V (CRD V)'.

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Published 11 December 2017. Effective from 11 December 2017 (superseded on 29 December 2020 by December 2020 version).

* Supervisory Statement 16/16 - December 2017 (pdf)

**\- followingCP15/17 'The minimum requirement for own funds and eligible liabilities (MREL) - buffers'. In CP15/17, the PRA consulted on updates to SS16/16 to clarify its expectations regarding:

* the amount of CET1 that firms should not count simultaneously towards buffer requirements and MREL (ie an amount equal to the size of the usable buffer derived from the two going-concern regimes); and
* the consequences of not maintaining sufficient CET1 to meet both the usable buffer requirement and MREL.

The PRA is required by FSMA to have regard to any representations made to the proposals in a consultation, to publish an account, in general terms, of those representations and its response to them. The PRA received two responses to CP15/17 which welcomed the proposed updates and did not give rise to the need to change the PRA's proposals. The PRA is therefore publishing the final SS16/16 'The minimum requirement for own funds and eligible liabilities (MREL)-buffers' incorporating the updates proposed in CP15/17.

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Published 8 November 2016. Effective from 8 November 2016 (superseded on 11 December 2017 by December 2017 version).

* Supervisory Statement 16/16 - November 2016 (pdf)

First publication of SS.

Prudential Regulation // PRA Regulatory Digest 02 March 2026

Prudential Regulation // PRA statement 27 February 2026

Prudential Regulation // Consultation paper 25 February 2026

Prudential Regulation // Policy statement 20 February 2026

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